RESERVE BANK OF INDIA

Department of Regulation

Title: Master Direction on Anti-Money Laundering and Countering the Financing of Terrorism, 2026

Reference number: RBI/2026-27/21 DOR.AML.REC/02/2026

Date: March 02, 2026

1. Applicability and Governance

1.1 These Directions shall apply to all Regulated Entities, and every entity shall designate a Money Laundering Reporting Officer who will be responsible for oversight of anti-money laundering controls and liaison with the Financial Intelligence Unit.

1.2 Regulated Entities shall conduct an enterprise-wide money laundering and terrorist financing risk assessment at least once every twelve months, and the assessment summary shall be placed before the Risk Management Committee for approval of residual-risk actions.

1.3 Regulated Entities shall apply enhanced due diligence to correspondent banking relationships, including understanding nested downstream use of correspondent accounts, and shall terminate relationships where transparency of respondent controls cannot be established.

2. Customer and Transaction Controls

2.1 Regulated Entities shall capture complete originator and beneficiary information for all wire transfers above rupees fifty thousand, and transfers lacking required information shall be held for review before credit to the beneficiary account.

2.2 Regulated Entities shall obtain senior-management approval before establishing relationships with Politically Exposed Persons, and such relationships shall be subject to enhanced ongoing monitoring reviewed at least once every six months.

2.3 Regulated Entities shall implement red-flag rules for trade-based money laundering covering over-invoicing, under-invoicing and round-tripping patterns, and alerts generated shall be investigated within 30 days of generation.

2.4 Regulated Entities shall identify customer exposures to virtual-asset service providers, and transactions routing through unregistered providers shall be blocked or escalated to the Money Laundering Reporting Officer within 24 hours.

3. Reporting and Record-Keeping

3.1 Regulated Entities shall report attempted suspicious transactions to the Financial Intelligence Unit within 7 days of detection, and no employee shall disclose to the customer that a report has been or will be filed.

3.2 Regulated Entities shall retain all anti-money laundering records for a minimum period of five years from the date of transaction or account closure, and shall furnish information sought by the Financial Intelligence Unit within the stipulated time.

3.3 Regulated Entities shall operate an ongoing staff training and screening programme on money laundering typologies, and completion records shall be maintained for supervisory inspection at least once every twelve months.